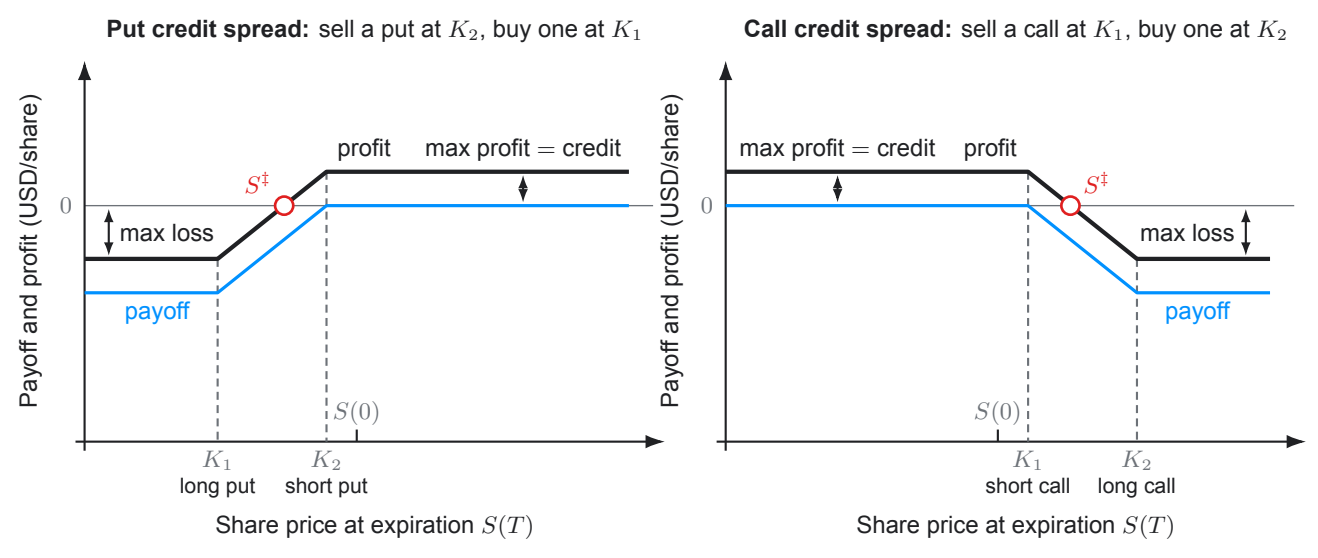
Put credit spread: sell a put at K_2, buy one at K_1
Payoff and profit (USD/share)
0
max loss
payoff
profit
max profit = credit
$S^\ddagger$
$S(0)$
K_1
long put
K_2
short put
Share price at expiration $S(T)$
Call credit spread: sell a call at K_1, buy one at K_2
Payoff and profit (USD/share)
0
max profit = credit
profit
$S^\ddagger$
max loss
payoff
$S(0)$
K_1
short call
K_2
long call
Share price at expiration $S(T)$